Profitable Growth Strategy for JD Now

2026 Bain Cup Competition | Cold Brew Club

Executive Summary: JD should restructure supply, retain users without subsidies, and cut fulfillment cost to flip to profitable

Market Overview

- T3/T4 cities are driving instant retail market growth with rising disposable income
- O2O is the fastest-growing sales channel of FMCG growth

Tier 3 & 4 Cities Analysis

- Growth in Tier 3 & 4 cities is driven by price-sensitive users attracted by subsidies, leading to losses
- Cities with stronger supermarket presence show materially higher AOV

Competitive Landscape

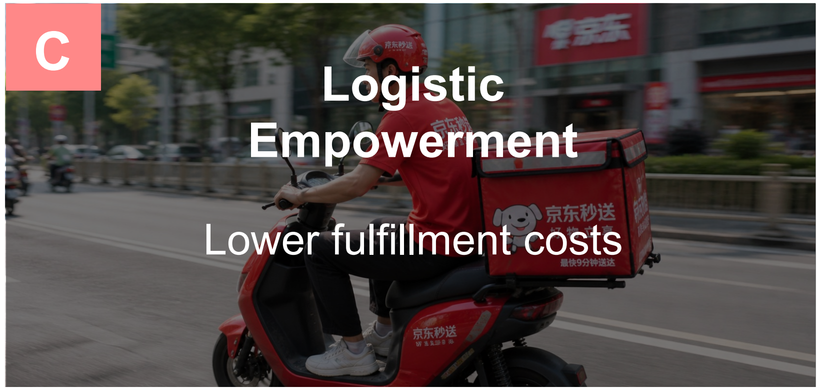
- Instant retail wins in convenience over offline retailers, in speed over e-commerce
- Within O2O, JD leads on supply chain but trails on fulfillment cost

A1: Partner with offline retailers

A2: Category reconstruction

B1: introduce dual-channel membership

B2: Scenario-based marketing



C1: Rider Dispatch Optimization

C2: AI-powered monitoring

Flip to profitable by 2026E, achieve RMB 3.6bn operating profit by 2030E

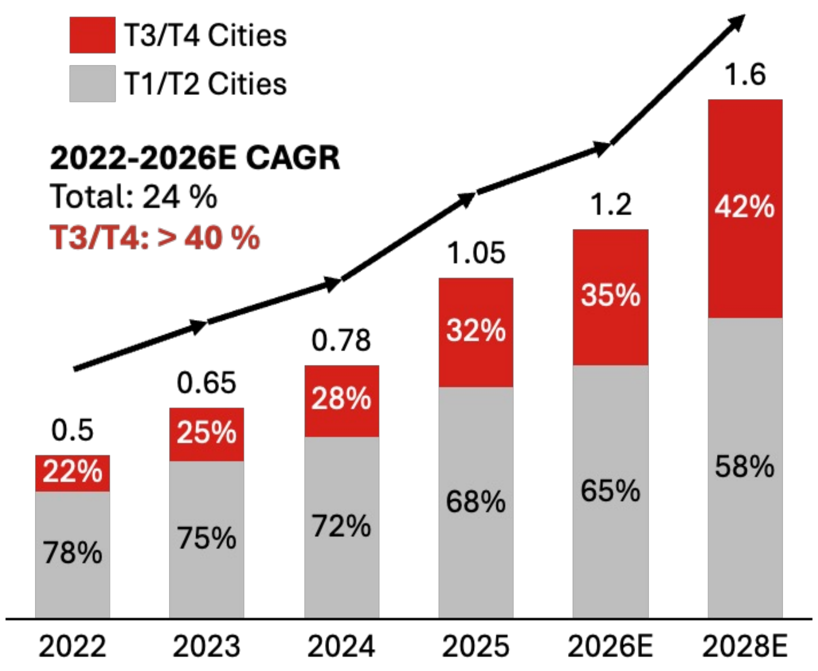
Agenda

- **_Market Insights_**
  - **_Market Overview_**
  - **_Tier 3 & 4 Cities Analysis_**
  - **_Competitive Landscape_**
- **_Strategy Design_**
- **_Implementation_**
- **_Appendix_**

Market Overview: Promising instant retail market growth; increasing consumption power in lower-tier cities

Instant retail market growth

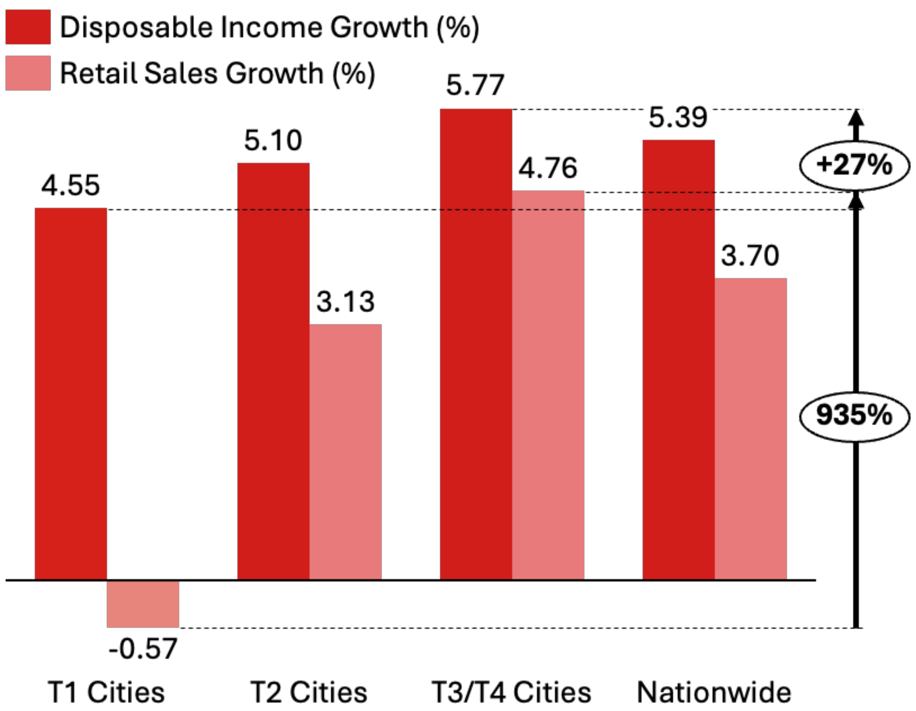
China's Instant Retail Market (Tn RMB)



- **Strong overall growth** in instant retail
- Lower-tier (Tier 3 & 4) cities growing faster than Tier 1 & 2 with **>40% CAGR**

Consumption rising faster in T3/T4

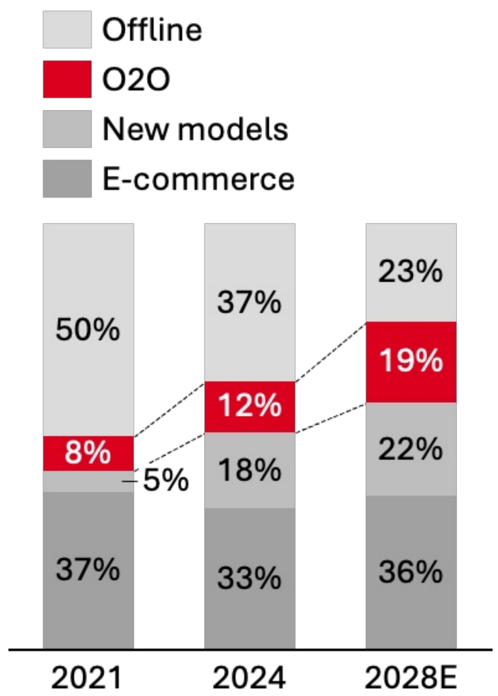
2025 Consumption Power Growth by City Tier



- Consumption power rise the **fastest in T3/T4 cities**, indicating rising APC and market potential

O2O growing fast in FMCG

FMCG Market Growth Breakdown



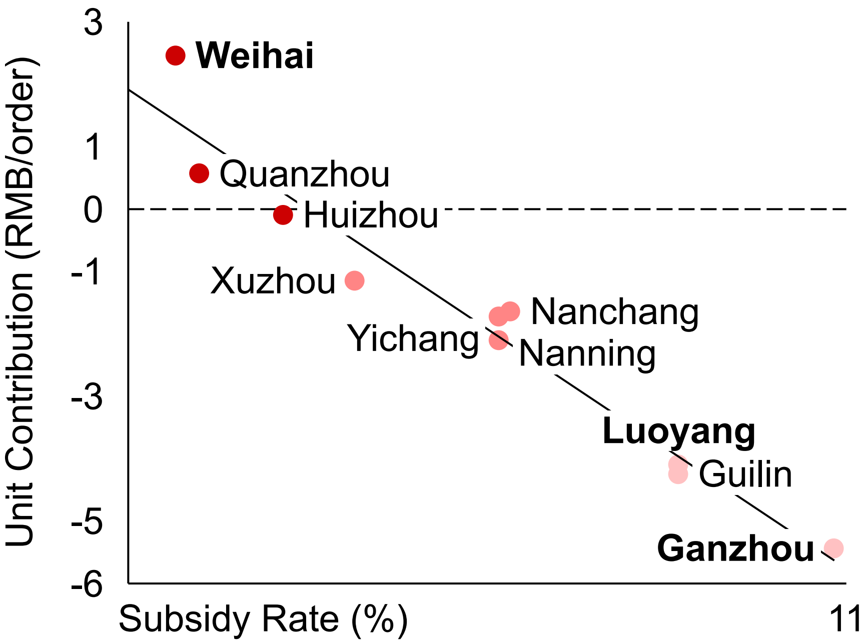
- **O2O quickly expanding** as an FMCG retail channel
- Traditional offline channel shrinking

Source: Ministry of Commerce, Meituan Research Institute, iResearch, National Bureau of Statistics, Bain & Worldpanel

The lower-tier city dilemma: Rapid growth, subsidy-driven losses — supermarket-led baskets as the path to profitability.

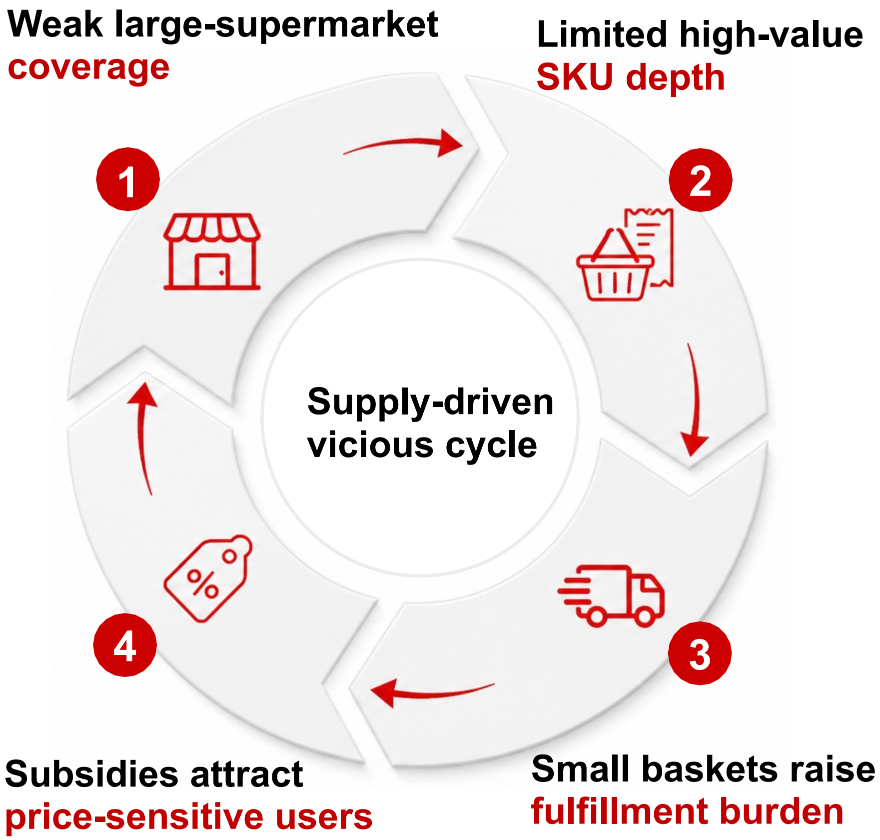
Subsidy hurts

- **While Subsidy rate increases**
  - Unit contribution drops
  - Loss-making cities cluster at high subsidy rates



- Higher subsidies deepen per-order losses
- Cities with >7% subsidy rate lose ~¥1-5 per order

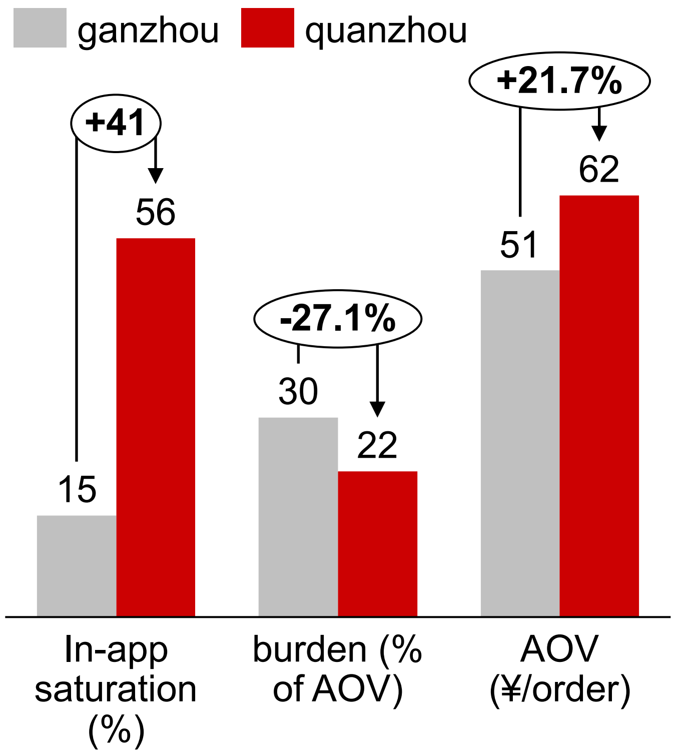
Low AOV traps



Subsidy-led growth lacks quality
– Discounts add transactions before supply improves
– Order mix shifts toward deal-seeking missions

Profit pool exists

Supermarket supply improves the stack



- **Supermarket** lifts basket size
- Larger baskets reduce cost burden

Sources: 2026 Bain Cup Case Data from Instant Retail Co.; team analysis. Note:. In-app saturation = in-app large supermarkets / Real-world-map large supermarkets.

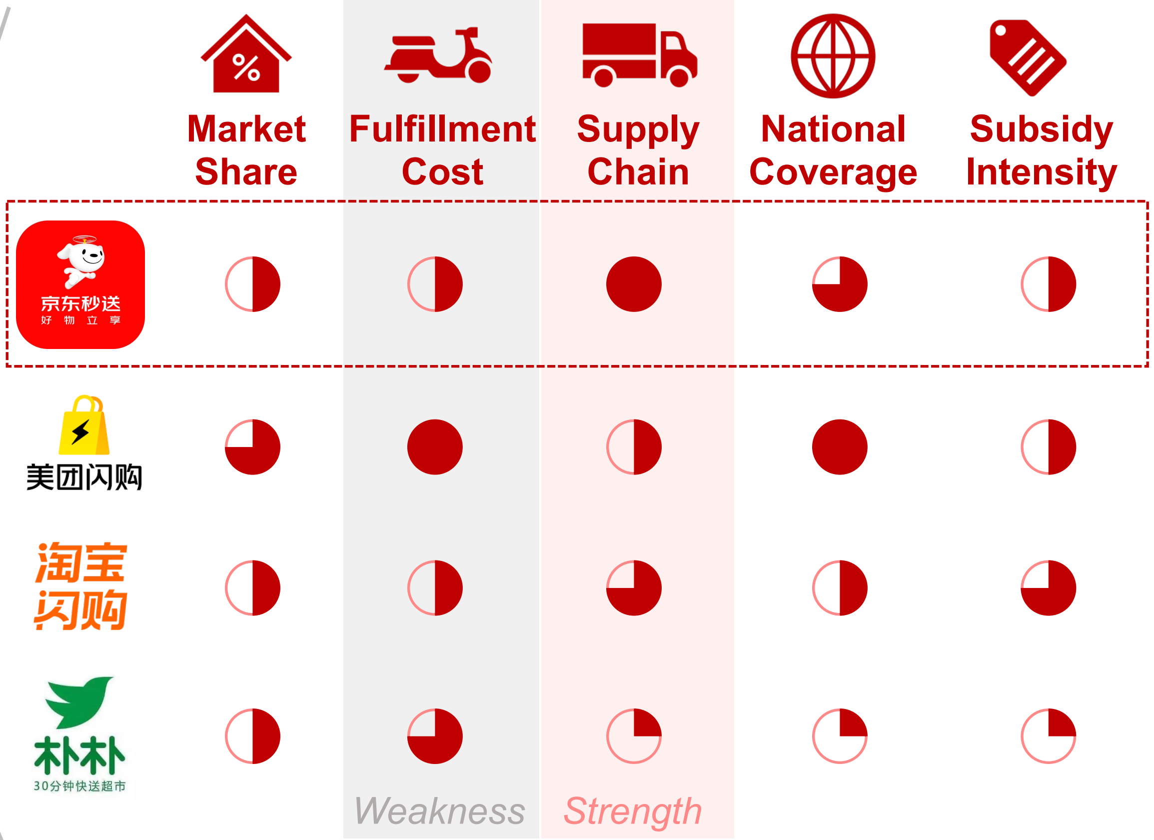
Competitive landscape: Winning the White Space Between Offline Retail and E-Commerce by Leveraging Our Strengths

Cross-Industry Competitors

	Main Plays	Moat	Weakness
Offline Retailers	Sams Club, 大润发 RT-Mart, DL 胖东来, 美宜佳 MEIYIJIA	• No wait time • Tangible experience • No delivery fee • Existing habit	• Requires physical effort • Closed at night • Limited SKU
O2O channels	京东秒送, 美团闪购, 淘宝闪购, 朴朴	• Quick delivery • 24/7 availability • No carry burden	• Additional delivery fee • No tangible experience
Online Retailers	天猫, 淘	• Lowest price point • Unlimited SKU • No carry burden	• Slow delivery • Fresh quality unreliable • Counterfeit risk

- Win where **offline closes, e-commerce waits**
- Own urgency + heavy goods — where users pay for **speed and convenience**, not discounts

O2O Competitors



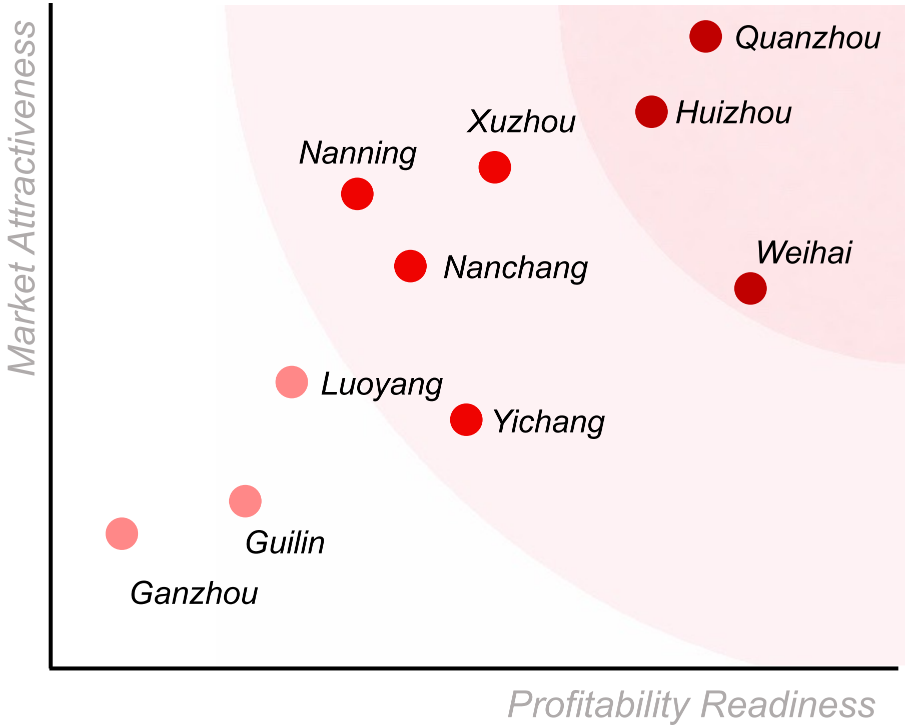
- Improve rider dispatch system, cut fulfillment cost
- Leverage supply chain strength, e.g. 3C trade-in subsidy wave
- Reduce dependency on subsidies

3C Geographical Prioritization: Build a 3-tier city portfolio to balance near-term profitability and scalable growth

City Prioritization

Criteria 1: Profitability Readiness	Criteria 2: Market Attractiveness
▪ Market share ▪ AOV ▪ Subsidy rate ▪ Fulfillment cost	▪ Population ▪ Disposable income ▪ Active merchant base

Priorities: ● *High* ● *Medium* ● *Low*



Strategic Differentiation

Cultivate - Weihai / Quanzhou / Huizhou (Bucket A)

Pilot

- **Profile:** Near-breakeven cities with stronger basket economics
- **Strategy:** Deploy all three levers simultaneously
- **Goal:** Validate strategy effectiveness
- **Timeline:** Begin immediately; evaluate results on a rolling basis
- **Target:** reach breakeven in Year 1

Consolidate - Xuzhou / Nanchang / Yichang / Nanning (Bucket B)

Wait-and-See

- **Profile:** scalable cities with repairable AOV and subsidy gaps
- **Strategy:** Partially reduce subsidies
- **Goal:** Preserve market share, minimize future re-entry cost
- **Timeline:** Reduce subsidy immediately; re-evaluate at Month 18
- **Target:** Deploy all three levers upon Tier 1 validation; reach breakeven in Year 2.5

Cease - Luoyang / Guilin / Ganzhou (Bucket C)

Temporary Withdrawal

- **Profile:** deep-loss cities driven by low AOV and heavy subsidies
- **Strategy: Reduce subsidies to floor level**
- **Goal: Accept market share loss to stop cash burn**
- **Timeline:** Reduce subsidy immediately**; re-evaluate at Month 30**
- **Target:** Re-enter and reach breakeven in Year 3+ upon Tier 1 & 2 profitability confirmation

Agenda

- ➢ ***Market Insights***
- ➢ ***Strategy Design***
  - ***Supply-Side Restructuring***
  - ***Demand-Side Retention***
  - ***Logistic Empowerment***
- ➢ ***Implementation***
- ➢ ***Appendix***

Strategy Summary: Three levers to turn tier 3/4 cities profitable within 1 year, delivering RMB 3.6Bn by 2030

Goal

Reach profitability within 1 year

Where to play

A

Supply-Side Restructuring

Increase order volume, product margin and AOV

B

Demand-Side Retention

Expand customer base, reduce subsidy dependency

C

Logistic Empowerment

Lower fulfillment costs

How to win

A1: Partner with offline retailers
- Established retailer partnerships (e.g. Sam's Club) ready to leverage

A2: Category reconstruction
- Mature supply chain (e.g. 3C) ready to leverage

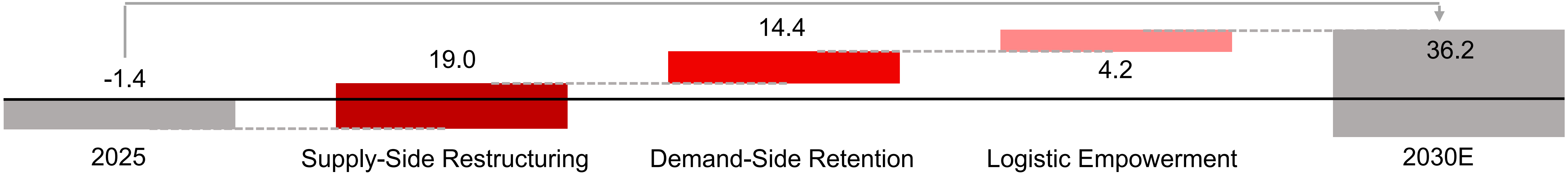
B1: Introduce dual-channel membership
- Supermarket partnerships reaches new sustainable customer base

B2: Scenario-based marketing
- Differentiated marketing for Tier 3 & 4 cities from Tier 1 & 2 cities

C: Rider Dispatch Optimization
- Multi-agent system optimizes dispatch in real time, every moment
- Always-on dispatch optimization cuts idle time and cost per order
- Dynamic rider repositioning reduces idle time and lowers cost per order

Outcome

Strategic contribution to operating profit in 5 year *(RMB 100 Mn)*



A1 **Supply-Side Restructuring:** Replicate JD X Sam's full-stack partnership and treat local supermarket leaders as KA partners

Case study：Sam's x JD / Dada

Offered:

Sam's Premium Supply
High AOV, high SKU-depth-assortment

Sam's Brand Trust
~8.6M paying customers

Offered:

JD Traffic Entrance
10M+ daily delivery orders covering 2k+ cities

JD Digitalization
10M+ daily delivery orders covering 2k+ cities

Sam's e-commerce sales **tripled within 1 year of JD integration**

Map to local KA partners

What JD NOW Enables

Demand Aggregation
Lower-frequency visits to high-frequency instant order

SKU Digitalization
Digitize assortment, inventory, and pricing

Store Digitization
Connect store orders, operating fulfillment data

Picking and Packing SOP
Digitize assortment, inventory, and pricing

Exception Handling
Support delays, complaints, and dispatch coordination

Local Supermarket KA Model

Step 1. Find Partners
Build partnership with local chained supermarkets/convenience stores

家家悦 hypermart　丹尼斯　大张 DAZHANG

Step 2. Anchor Stores
Select 1-2 high-SKU anchor stores to build trust

Step 3. Integration
Digitize SKU + inventory, deploy order management

Step 4. Fulfillment Setup
Stores to front fulfillment centers, integrate JD riders

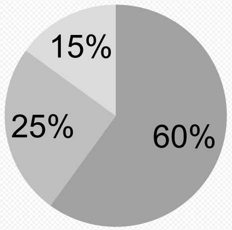
Step 5. Scale Network
Build regional chains to lower cost and raise speed

Sources: Expert Call; Inside Retail Asia; TechCrunch; Statista

A2 **Supply-Side Restructuring:** Shifting category mix toward high-margin, urgent needs, with 3C as the breakout opportunity

Category screening framework

Current situation: constrained profitability



Core challenges in lower-tier cities:

- Low AOV
- High fulfillment cost

Solution: Prioritize high price, high margin categories

	Urgency	Portability constraint	Price	Margin potential	Supply Chain
Medicine	●	◑	◑	◔	◑
Alcohol	●	◕	◕	◕	◕
Staples	◔	●	◔	◔	●
Snacks	◔	◔	◔	◑	●
3C	◕	◕	●	◕	●
Personal care	◑	◔	◕	◕	◕
Fruits	◑	◑	◑	◑	◕
Fresh produce	◑	◑	◑	◔	◑

Sample category: how to prioritize 3C

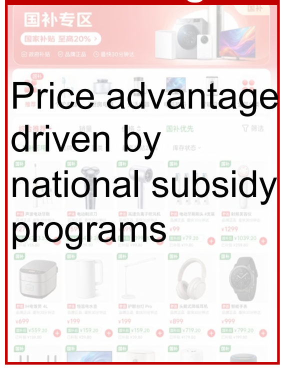
Strong channel foundation:

▶ *Enables scalable **offline** activation in **lower-tier** markets*

- ***~5,000+*** offline 3C retail stores
- ***15*** provinces subsidies coverage as of 2026
- ***~100,000+*** township offline service points

Combine JD's strengths to develop instant retail benefits for the 4 major home appliance categories

A Subsidy Coverage



Price advantage driven by national subsidy programs

B Doorstep Installation

Guaranteed genuine products with trusted sourcing

C Authenticity Guarantee

End-to-end service reduces user friction

D Warranty & After-sales

Reliable after-sales support with multi-year warranty

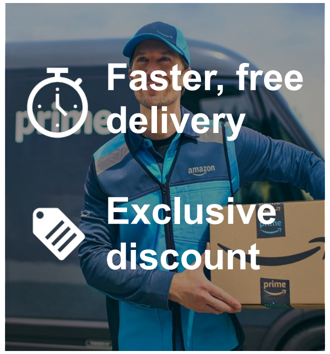
Sources: iResearch Consulting, 2024; China Instant Retail Category Development Report; JD Research Institute; 3C Digital Industry Channel Annual Report, 2024

B1 **Demand-Side Retention:** Replicating the Amazon-Whole Foods playbook to reach more sustainable customers via offline channels

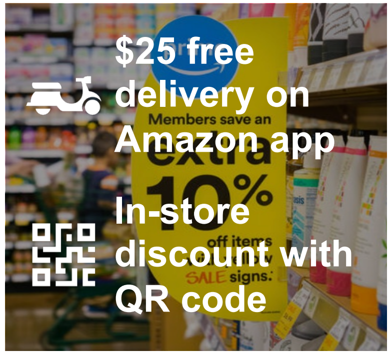
Case Study: Amazon X Whole Foods

prime Membership

amazon × WHOLE FOODS MARKET



- Faster, free delivery
- Exclusive discount



- $25 free delivery on Amazon app
- In-store discount with QR code

Results

Whole Foods' foot traffic up **25%**	Prime share rose from **46% to 54%**
Whole Foods' sales **+3%** **YoY**	**19% CAGR** in Amazon's F&B

Our Strategy

Step 1: Acquisition

- In-store QR code drives JD app download
- Local supermarket brand equity removes cold-start barrier

Step 2: Activation

- First QR scan = first app open + first exposure to JD Instant Delivery

Step 3: Revenue

- Frequent in-store JD app usage leads to O2O ordering

Strategic Benefits

Drive app downloads	**Reach new customer base**	**Turn offline habits to online loyalty**	**Reduce reliance on subsidies**

Sources: Source: Bloomberg Second Measure (2024); AMW Group (2024); Progressive Grocer (2025); team analysis.

B2 **Demand-Side Retention:** Leveraging Tier 3 & 4 market characteristics to drive scenario-based marketing

Scene 1: Festival Gift Emergency

"Forgot the gift? Fixed in 30 minutes."

Targeted pain point

- Stronger gifting culture than tier 1/2 cities

How to win

- Align promotions with local holidays to create order volume spikes
- Negotiate festival SKUs with local supermarkets 30 days in advance

Scene 2: Extreme Weather Emergency

"Stay inside. We'll handle the outside."

Targeted pain point

- Weaker infrastructure amplifies weather disruption

How to win

- Weather API flags extreme conditions 48hrs ahead; auto-push stock-up alerts

Scene 3: Remote Purchase for Elderly Parents

"You can't always be there. We can."

Targeted pain point

- More left-behind elderly, no family nearby in emergencies

How to win

- Introduce "Order for Family" feature
- No QR scan needed upon delivery, rider hands off directly to elderly recipients

Scene 4: Late-Night Demand

"The city sleeps. We don't."

Targeted pain point

- Fewer 24-hour stores than tier 1/2 cities

How to win

- Overnight inventory agreements with local pharmacies & convenience stores across core SKUs

Sources: 2026 Bain Cup Case Data from Instant Retail Co.; team analysis.

C

Fulfillment Cost Reduction: AI agent orchestration turns T3/T4 fulfillment cost into a controllable lever

Before: Fixed Fulfillment Model — High Cost

Low density
Fixed cost
hard to dilute

Static capacity
Peak mismatch

Manual dispatch
response lags

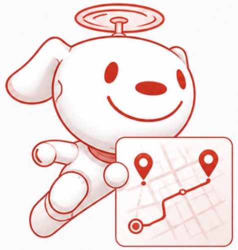
Fragmented orders
↓
Fixed rider allocation
↓
Long wait time / empty runs
↓
Low fulfillment resource utilization
↓
High fulfillment cost per order

- Fulfillment cost appears fixed under static dispatch, but AI makes it controllable;
- **Multi-agent orchestration** dynamically predicts demand and repositions riders, reducing idle time and empty runs

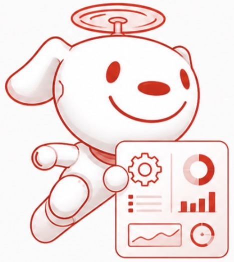
After: Flexible fulfillment model powered by AI agents

Agent Cluster

Predict

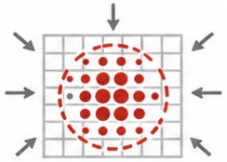


Dispatch



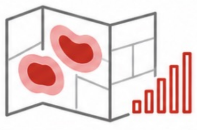
Operate

Refined Capabilities

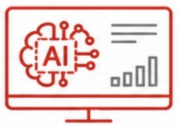


Density Optimization

Flexible Dispatch



Hot-zone Monitoring



AI Dispatch System

Empowered Occasions

Scan to view demo

Localization: Build differentiated expansion strategy based on local supermarket leaders and city-specific order scenarios

Quanzhou: Heavy Cultural Gifting

Local Supermarket Leaders:

YH 永辉超市
中闽百汇 ZHONGMINBAIHUI

Prevailing Order Scenarios

- Stock festival & cultural SKUs tailored to Minnan traditions
- Gifting occasions focused SKUs and marketing during festive seasons

Weihai: Coastal Travel

Local Supermarket Leaders

JJY 家家悦 hypermart

Prevailing Order Scenarios

- Stock travel essentials and allergy-friendly SKUs (e.g. seafood-allergy related medicine)
- Tourist-targeted marketing campaigns

Huizhou: GBA Family Demand

Local Supermarket Leaders

YH 永辉超市
Vanguard 华润万家
天虹百货 rainbow

Prevailing Order Scenarios

- Stock family & child-friendly product categories
- Marketing tailored to the industrial park demographic

The same methodology applies to Bucket B/C Cities once reactivated : Analyze local supermarket leaders, advantageous categories, specific scenarios, and target customer groups by cities, then build targeted, differentiated strategies

Sources: 2026 Bain Cup Case Data from Instant Retail Co.; team analysis.

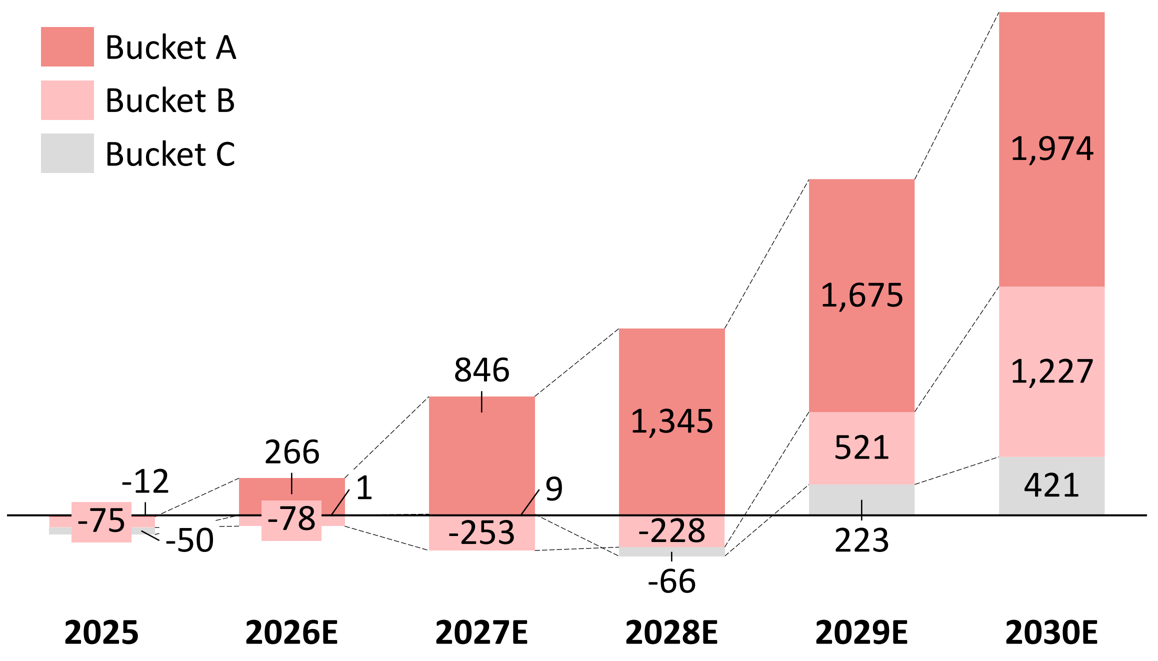
Agenda

- *Market Insights*
- *Strategy Design*
- *Implementation*
- *Appendix*

Financial forecast: Profitability supported by positive unit economics and achievable break-even conditions across cities

5-year path to profitability

2025-2030E operating profit (Unit: RMB mn)

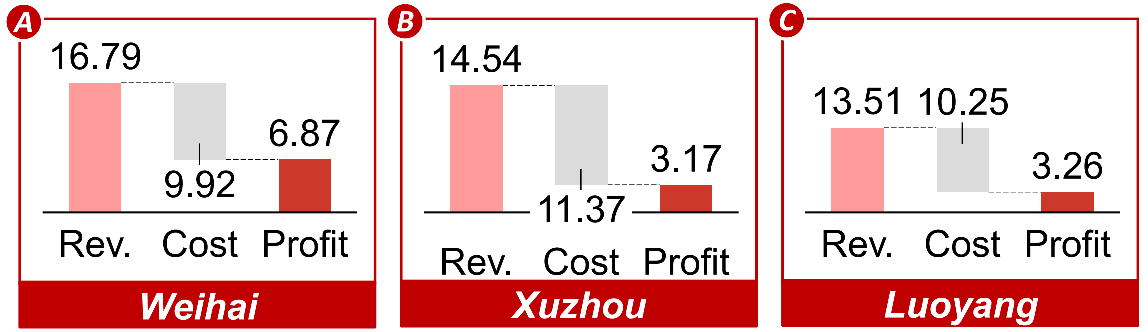


- Operating profit turns positive early, then accelerates as A-bucket scale expands and B/C losses narrow
- Profit growth is driven by higher order density, A-bucket profit expansion, and gradual B/C bucket repair

Note: 1) Cities shown are representative examples for Buckets A, B, and C in 2030, used for illustration purposes

Operational economics validation

Positive unit economics across all buckets[1)]



Break-even timeline across cities

Bucket	City	AOV: Breakeven	AOV: 2030E
A	Quanzhou(2025A)	61.7	70.6
A	Huizhou (2026)	62.8	68.6
A	Weihai (2026)	62.2	73.6
B	Xuzhou (2029)	63.1	72.3
B	Nanchang (2029)	62.6	69.7
B	Yichang (2029)	61.4	66.4
B	Nanning (2029)	62.3	67.8
C	Luoyang (2029)	60.1	70.5
C	Guilin (2029)	59.7	68.5
C	Ganzhou (2029)	61.6	65.5

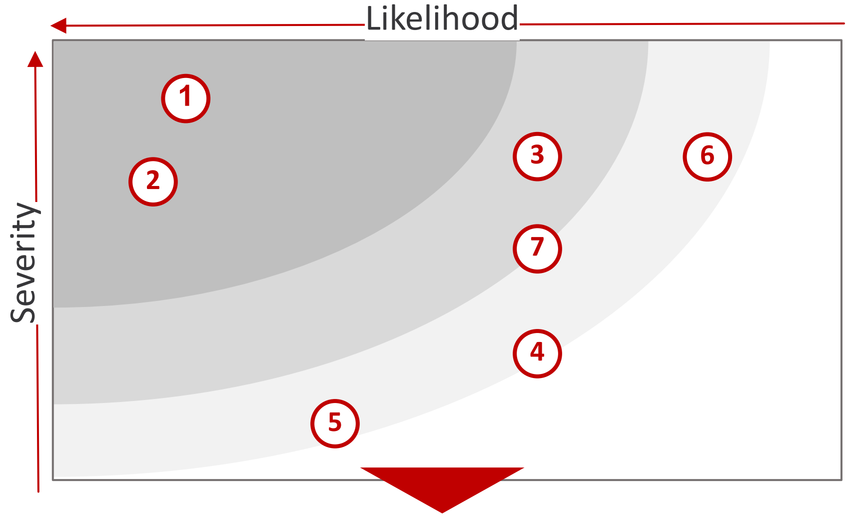
Growth Levers & Risk Mitigation: Prove in A, scale into B after 18 months, and selectively replicate in C

5-year Implementation Roadmap

	Build Phase	Scale Phase	Launch Phase	Profit Phase
A bucket	Local champion integration			
	High AOV category expansion | 3C / gifting / pharmacy | membership trial			
			Scale profit engine Replicate and lock in loyal users	
B bucket	Maintain density; avoid aggressive			
		SKU depth + category shift + membership conversion		
			B bucket turns positive in 2029E OP: -RMB 253mn → RMB 1,227mn	
C bucket	Minimum presence; no aggressive subsidy before proof			
			Replicate only proven A/B modules	
				Catch-up profitability OP: RMB 421mn
Platform enablers	AI Scheduling + Supply Chain Middle-Platform + Data Middle-Platform Enabling tiered replication and scaled operations across all city tiers			

2026 189 Million | 2027 601 Million | 2028 1051 Million | 2029 2419 Million | 2030 3620 Million

Risk & Mitigation



Risk	Mitigation
1 Supermarket Negotiation	Supply chain enablement
2 Below-target AOV	3C drainage + membership
3 Subsidy stickiness	Early membership rollout
4 Rider Cost Inflation	AI dispatch +30% efficiency
5 Competitor Counterattack	Supply chain lock
6 C Bucket Failure	1-city pilot: ¥1 minimum subsidy
7 Consumption slowdown	Value SKU expansion

Sources:team analysis

Agenda

- ***Market Insights***
- ***Strategy Design***
- ***Implementation***
- ***Appendix***

Appendix 1: City Bucket Classification

Scores are normalized strategic scoring outputs; purpose is prioritization, not precise financial measurement.

City	Bucket	Profitability Readiness Score	Market Attractiveness Score	Classification Rationale
Weihai	A	84.2	42.5	Near-breakeven, high AOV, low subsidy burden, strong local supermarket base
Quanzhou	A	75.1	75.1	Largest attractive proof market with strong cultural gifting and supply potential
Huizhou	A	70.6	68.4	GBA-linked family basket, high AOV potential and scalable demand
Xuzhou	B	64.6	70.2	Scalable demand base but needs supply mix and subsidy repair
Nanchang	B	59.2	57.3	Meaningful scale; monetization and supply depth need improvement
Yichang	B	57.0	44.8	Smaller market; repair through SKU depth and disciplined subsidy
Nanning	B	56.2	61.1	Attractive scale but current low-AOV mix needs category shift
Luoyang	C	44.4	48.6	Deep-loss city; maintain minimum presence before scaling
Guilin	C	42.3	40.0	Tourism potential but lower readiness; wait for proven model
Ganzhou	C	33.5	38.7	Weakest readiness; contain losses and revisit after playbook validation

Appendix 2: Subsidy Freeze + Order Density Scenario

Assumption Area	Scenario Setting	Strategic Rationale / Impact
Subsidy policy	A bucket subsidy freezes from 2026E	Protect high-quality proof markets and order density
Subsidy policy	B bucket subsidy freezes after 2027E strategy launch	Avoid assuming automatic margin expansion from subsidy decline
Subsidy policy	C bucket subsidy freezes after 2028E controlled launch	Maintain controlled presence without aggressive subsidy competition
Order growth uplift	A/B bucket annual growth +2pp from 2027E onward	Subsidy retention preserves price-sensitive orders and delivery density
Order growth uplift	C bucket annual growth +1pp from 2028E onward	Contain strategy keeps limited but visible scale improvement
2030E output	Daily orders reach 2,326.3k/day	Higher than 2,192.4k/day in pure 40% growth scenario
2030E output	Operating profit reaches RMB 3,622.4 mn	More conservative than RMB 4,778.0 mn when subsidies keep declining

Appendix 3: Bucket Profit Build-up

Unit: RMB mn operating profit; daily orders in k/day.

Year	Bucket	Daily Orders (k/day)	Annual Orders (k/year)	Operating Profit (RMB mn)
2025A	A	290	105850	-12
2025A	B	335	122275	-75
2025A	C	135	49275	-50
2025A	Total	760	277400	-137
2026	A	406	148190	265.7
2026	B	469	171185	-77.7
2026	C	189	68985	1
2026	Total	1064	388360	189
2027	A	535.9	195,603.5	846
2027	B	619.2	226008	-252.8
2027	C	245.7	89,680.5	8.5
2027	Total	1,400.8	511292	601.7
2028	A	664.4	242506	1,344.6
2028	B	767.8	280247	-228.2
2028	C	302.3	110,339.5	-65.8
2028	Total	1,734.5	633,092.5	1,050.6
2029	A	784	286160	1,674.8
2029	B	906.1	330,726.5	521.1
2029	C	353.6	129064	223
2029	Total	2,043.7	745,950.5	2,418.9
2030	A	893.7	326,200.5	1,974.4
2030	B	1,033.1	377,081.5	1227
2030	C	399.5	145,817.5	421
2030	Total	2,326.3	849,099.5	3,622.4

Appendix 4: Local Champion Retailer Mapping

City	Bucket	Local Champion Retailers	Most Relevant Basket / Mission	Partnership Implication
Quanzhou	A	Zhongmin Baihui / Xinhuadu / Yonghui	Cultural gifting + family stock-up	Use local champions as high-quality supermarket anchors
Weihai	A	Jiajiayue	Coastal wellness + seafood + Korean-style consumption	Deepen partnership with local supermarket leader
Huizhou	A	Tianhong / CR Vanguard / Yonghui / Sam?s	GBA family replenishment + 3C/personal care	Build family basket with GBA supply advantages
Xuzhou	B	RT-Mart / Yonghui / Suguo / local supermarkets	Festival food + family stock-up	Repair SKU depth before aggressive scaling
Nanchang	B	CR Vanguard / Rainbow / Walmart / local chains	Urban family replenishment	Improve supermarket supply and membership conversion
Yichang	B	Walmart / Zhongbai / Beishan / Guomao	Household essentials + silver economy	Use focused local categories to build density
Nanning	B	Walmart / Yonghui / CR Vanguard / Nancheng Department Store	Family stock-up + ASEAN/imported goods	Shift away from low-AOV convenience missions
Luoyang	C	Dazhang / Dennis / Yonghui	Tourism gifting + staple replenishment	Contain losses; validate playbook selectively
Guilin	C	Walmart / Smile Hall / Renrenle / local supermarkets	Tourism gifting + snacks	Maintain minimum presence and event pilots
Ganzhou	C	RT-Mart / Guoguang / Yonghui / CR Vanguard	Family essentials	Limit subsidy, revisit after A/B playbook proof

Appendix 5: Sam’s x JD/Dada Case Study

Purpose: show that KA partnership is a full-stack instant-retail enablement model, not just marketplace listing.

Service Layer	Sam?s x JD/Dada Practice	Transfer to T3/T4 Local Champion Model
Traffic entry	JD Daojia / JD ecosystem traffic and campaign operations	Apply JD Seconds Delivery as traffic layer for local champion supermarkets
Online store operations	SKU listing, inventory display, pricing and promotion configuration	Digitize local supermarket assortment and enable high-value SKU discovery
Store digitization	Order intake, system integration, operating dashboard, data visibility	Turn offline supermarkets into digitally managed fulfillment nodes
Picking & packing	In-store picking, packing standards, fresh/frozen handling	Improve fulfillment reliability for large-basket supermarket orders
Fulfillment dispatch	Dedicated + crowdsourced rider mix, routing and capacity scheduling	Use flexible dispatch to improve density and reduce empty runs
Experience assurance	Real-time monitoring, exception alerts, customer issue support	Protect high-AOV order experience and repeat purchase
Future extension	Unmanned delivery / last-mile handoff / data-driven operations	Use AI agents and local density data to scale in T3/T4 markets

Appendix 6: City Unit Economics Model Inputs

Cost / Order includes fulfillment cost, subsidy cost, fixed cost allocation, other operating cost and construction cost allocation, net of modeled efficiency gains.
Profit / Order = Revenue / Order - Cost / Order + membership and supply-chain contribution per order.

Dimension	Unit	Why Included	Dimension
City	Text	Identifies city-level differences in demand, supply, and profitability	City
Bucket	A / B / C	Links each city to the strategic treatment and rollout timing	Bucket
Year	Year	Tracks how UE improves across the 2026E-2030E strategy period	Year
AOV	RMB/order	Core revenue driver; higher baskets dilute fulfillment and subsidy burden	AOV
Revenue / Order	RMB/order	Captures platform monetization per order after take-rate assumptions	Revenue / Order
Cost / Order	RMB/order	Measures total per-order burden after fulfillment, subsidy, fixed cost allocation, and other costs	Cost / Order
Profit / Order	RMB/order	Main unit economics output; shows whether each order is value-accretive	Profit / Order
Subsidy / Order	RMB/order	Tracks subsidy dependency and pressure on unit economics	Subsidy / Order
3C Order %	% of orders	Captures contribution from high-ASP, subsidy-led 3C categories	3C Order %
Supermarket %	% of orders / supply mix proxy	Measures supermarket-led basket penetration and supply quality improvement	Supermarket %

Appendix 7: Focus group interview summary

Focus Group Interview Record
Date: May 2, 2026
Topic: Consumer behavior differences between Tier 1 and Tier 3/4 cities; instant retail opportunities
Format: Semi-structured group discussion, 90 minutes

Participants
Female, 24, from Quanzhou, currently studying in Shanghai
Male, 26, from Yichang, working in Shenzhen
Female, 23, from Jinhua, currently studying in Shanghai
Male, 28, from Xining, working in Shanghai

Key Findings
1. Pace of life & time scarcity
All four participants noted that the fundamental driver of instant retail, which is saving time, is far less relevant in their hometowns. P2 described life in Yichang as "nobody's rushing anywhere," with most errands done leisurely by e-bike. P1 added that her parents plan their days around the wet market visit; grocery shopping is a social activity, not a chore to be optimized. P3 noted that even her grandparents regularly travel 20 minutes by foot to buy specific cuts of meat from a preferred vendor, something they would never outsource to a delivery app.
2. E-bike culture as a structural barrier
E-bike ownership is near-universal among participants' families in their home cities. P4 estimated that "90% of people I know back home have one." This significantly lowers the friction of going out to shop, undermining one of instant retail's core value propositions. However, the group identified exceptions: bulky or heavy items (large water dispensers, cases of beverages, appliances) that are physically difficult to carry on an e-bike, and late-night or bad-weather scenarios where even e-bike users prefer to stay in.
3. Fresh produce: wet market loyalty is deeply cultural
Strong consensus across all four participants. P1 noted that in her family, buying vegetables from a supermarket, let alone a delivery app, would be seen as "lazy or too luxurious." The wet market is trusted for freshness, price negotiation, and vendor relationships built over years. P3 added that her mother would inspect every leaf herself. This represents a significant barrier for fresh produce in instant retail, though P2 suggested pre-cut or specialty ingredients (e.g. imported or hard-to-find items unavailable at local wet markets) could be an entry point.
4. Gifting culture: broader and deeper than expected
This emerged as one of the most animated parts of the discussion. All participants agreed that gifting is more pervasive in Tier 3/4 cities than commonly assumed — not limited to wealthy households, but embedded in everyday social life: festivals, visits to relatives, children's school teachers, neighbors, workplace relationships.
5. The "child in the city, parents at home" dynamic
All four participants described regularly purchasing items for their parents via e-commerce, but almost always standard delivery, not instant retail. P3 explained: "My mom doesn't really use apps. I order things to her address on JD or Taobao, and she receives the package a day or two later. That works fine." The group was skeptical that instant retail adds value in this flow, unless the platform makes it radically simpler for the elderly recipient — no QR scanning, no app interaction required. P1 mentioned she would consider using instant retail for her parents only in urgent situations (e.g. parent falls ill and needs medicine quickly).